

Claim Fraud

May 2016

Tim Bishop

Unum Limited

MLRO & Financial Crime Manager

Unum is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority



Who are Unum?

- Financial services company specialising in Group Risk insurance products with over 40 years experience
- Based in UK, with a US parent company

Unum UK

- Headquarters: Dorking, Surrey
- Offices in Basingstoke, Bristol
- Regional offices: Birmingham, Dorking, Glasgow and London
- 950 UK employees



Unum US

- Headquarters: Chattanooga (TN)
- Offices in Portland (ME), Worcester (MA) and Columbia (SC) plus offices throughout the US
- 10,000 employees in the US



Unum UK in numbers

A
**Fortune
500**
company*

A.M. Best
financial
rating: **A**
(Excellent)*

£294
million
of claims paid
in 2015

We insure
34%
of the FTSE
100

1.4
million
people
insured in
2015

Over 40
years of
experience

*Unum Group statistics

What we do in the UK



Group Income
Group Income
Protection (GIP)

£250m

n (GIP)



op Life Insurance
Group Life
Insurance

£120m

£120m



Group Critical
Group Critical
Illness

£10m

ness

£10m

Value of Premium in Unum UK (Dec '14)

What's Group Income Protection?

Pays a partial *replacement* **income** if an employee is unable to work due to sickness or incapacity



Financial Crime Team

- Small team – 2 FTE

Responsibilities

- Anti-Money Laundering
- Anti-Bribery & Corruption
- Sanctions screening
- Fraud management – approx 7000 claims
 - 2500 actively managed
 - 4500 longer term medical conditions

Detection

Currently reliant upon manual intervention from claim handlers

GP/medical notes

- Reference other employment
- Long distance travel when supposedly incapable
- Functional capacity assessments



PI surveillance / Desktop research

- But not in isolation



www.dot

- Social media
- Internet trawling



And the occasional whistleblower.....

Detection – Fraud Analytics

Automated fraud detection

- Remove sole reliance on manual reporting.
- Provide a holistic view of all claims, not just the actively managed
- A claim management tool
- Ongoing fine-tuning of tolerance levels and addition of new criteria

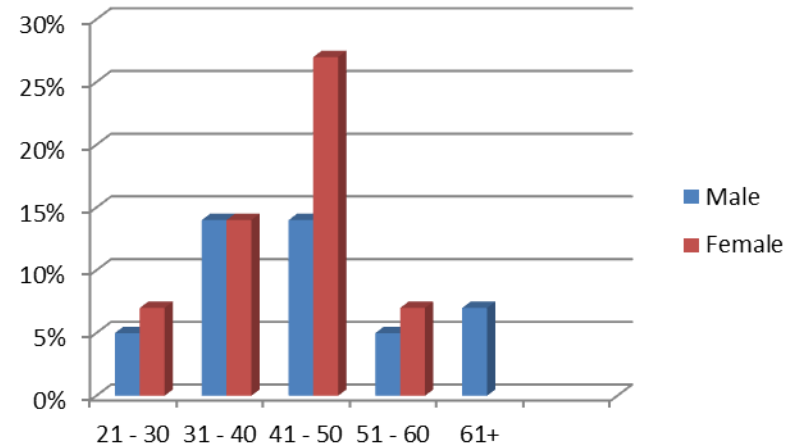


Detection – Fraud Analytics

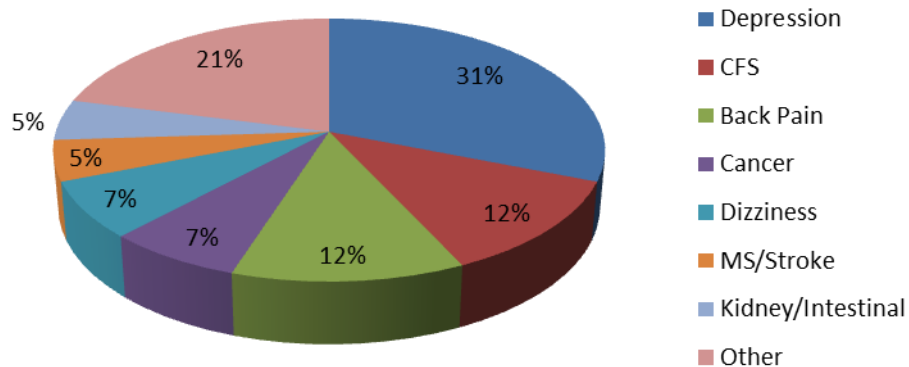
Automated fraud detection

- Gender – roughly 60/40
- Age – nothing specific
- Occupation - nothing adverse picked up yet

Male / Female split for suspicious activity reports 2015



Medical condition for suspicious activity reports 2015



Challenges

At which point does a claim become fraudulent?

Genuine claim

Employer supportive

GP/medical notes obtained

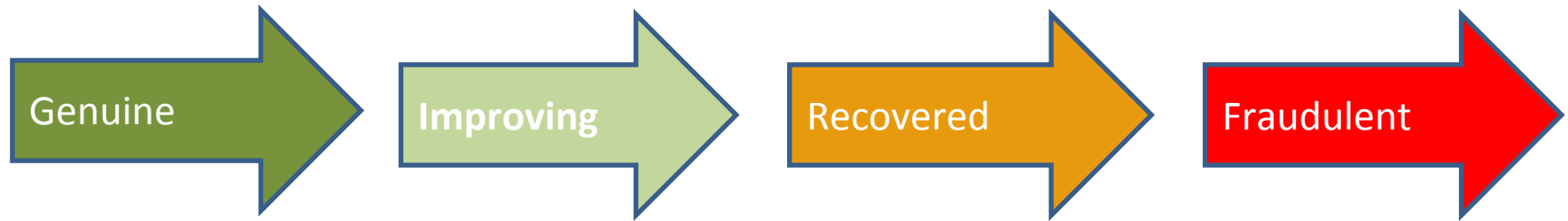
Claim assessed and admitted

Fraudulent claim

Recovered

May not want to return to work

Adapted lifestyle



Could be a period of years

Challenges

When does a hobby or an interest become a business?

Baking

Crafts

Hairdressing

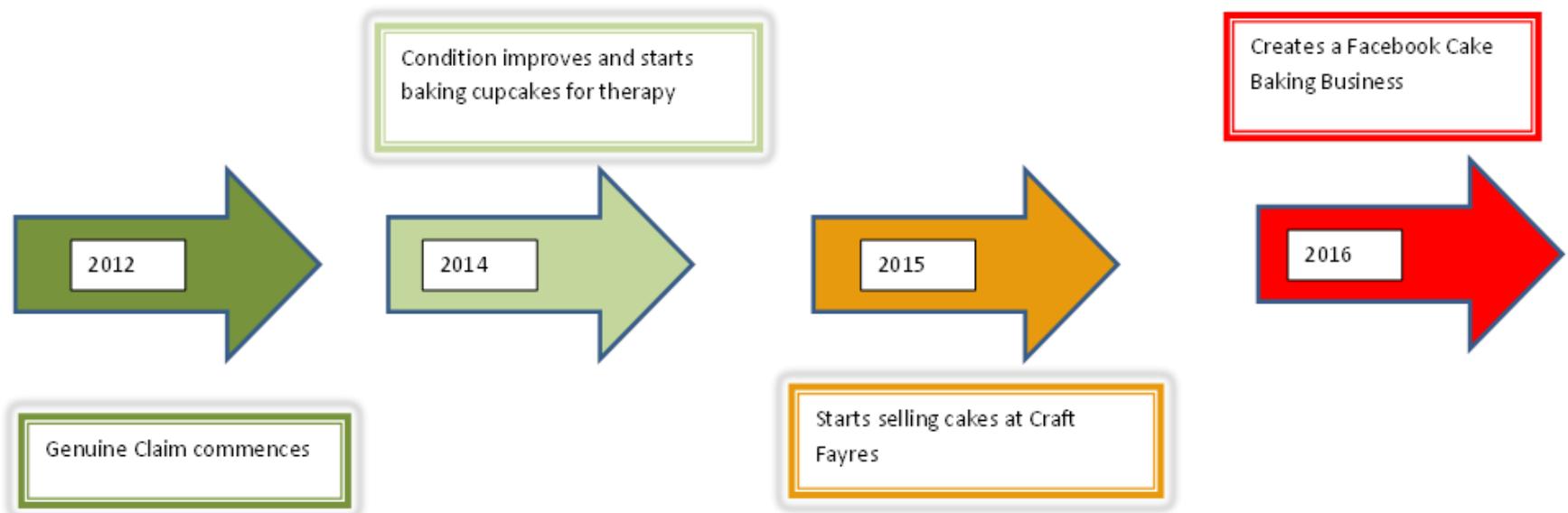
Health & beauty

DIY

Social media

Websites

Business forums



Case Study

TOMMY TWO JOBS

- Policy Inception: 7 Sept 2000
- Clean Application
- Deferred Period 13 Weeks
- Occupation: Golf Professional
- Date First Absent: 1 Nov 2009
- Commencement date: 31 Jan 2010
- Age at date of claim: 47
- Incapacity: Knee Injury – “Buckling” for no reason.
- Information on claim form:
- Disclosed that he had a previous arthroscopy 6 years prior. Now, having difficulties, walking or standing for any length of time.

Case Study

TOMMY TWO JOBS - BACKGROUND

- Medical records confirmed that he had undergone a previous arthroscopy of the left knee some years prior.
- Due to the limited medical evidence and the short deferred period the claimant had not seen a specialist or undergone any objective investigations. To establish the degree of his reported impairment, a Functional Capacity Assessment (FCA) was arranged and a GP report obtained. Both these pieces of evidence supported a functional impairment that would have prevented him from undertaking his insured occupation as a Golf Professional. The claim was admitted.
- The Claims Assessor carried out an immediate review of the claim as the claimant had disclosed in the FCA that he had been referred for a MRI scan. The Claims Assessor decided to directly contact Mr Jobs to establish whether he had undergone the MRI scan and the outcome of this.

Fraud case – ‘Tommy Two-Jobs’

Timelines.....

- ‘Individual’ policy effected in 2000.
 - Club pro, golf tutor.
- Jan 2010 - injured, unable to fulfill job role.
- June 2010 - claim admitted
 - Assessed claim form, questionnaire, GP notes, medical assessment conducted, etc
- Feb 2012 - updated medical/activity questionnaire completed
 - Still unable to work. Limited physical ability. No other income sources.
- Feb 2012 - Unum found link to a driving range in Yorkshire
 - Photo on website, lessons offered
 - Playing on PGA Northern Region Tour
- Feb 2012 - PI surveillance
 - Filmed taking 2 x lessons and receiving payment
- March 2012 - Claim ceased



Fraud case – ‘Tommy Two-Jobs’

Timelines.....

Next few months

- Unum Legal Team tries debt recovery route
- Various appeals, complaints and FOS referral
- Owner of driving range turns whistleblower
- April 2013 - IFED referral. **Finally!**

Fraud case – ‘Tommy Two-Jobs’

Outcome

- Guilty plea – fraud by false representation
- 140 hours community service
- 12 months probation
- Repay over £8k



Golfer caught playing in tournaments after injury claim

Published: 05:00 Wednesday 07 May 2014



A professional golfer conned his insurer out of £8,000 by falsely claiming that a knee injury left him unable to work before later being caught on camera playing in tournaments.

1
comments



Fraud case – Lessons learned

- Always keep an open mind
- Let the claims process run its course
- Check, check and check again
- Direct contact?
- Stay organised – huge amount of documents, evidence, and general paperwork
- Inputs to future claims training
- Informs auto detection tool development

Thank you for your time

Any questions?